Payment terms to pay the long-term provisions

We first need to understand how, when and in what form will the payment arise?

EXAMPLE

A company may pay its employees retirement benefits. The company might set aside cash for the same each year and give it to a third party to manage.

Alternatively, the company might manage this on their own and may have not set aside cash each year. In this case, the liabilitiy will arise on a future date.

This is how we need to understand how the company manages its provisions, how and what form will the liability be paid.

Resources to pay off the long-term provisions

The next question is - does the company have the resources to pay off these liability? Even if the company has set aside a lot of long-term provisions, do they have adequate resources, cash, or assets to pay them off?